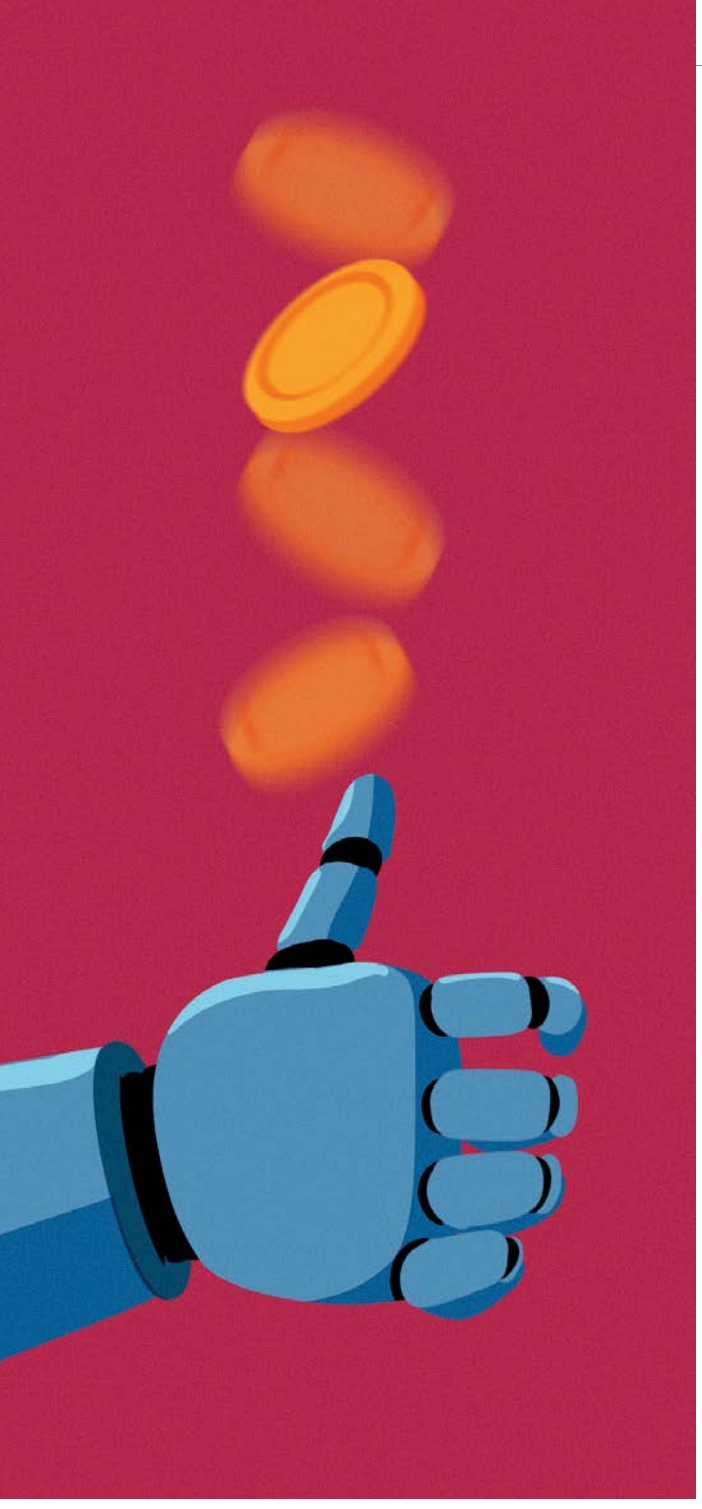


Illustration by **SIDDHANT JUMDE**

the years, the EPFO contribution in equities has been steadily going up and crossed Rs 2 lakh crore this year with the 2022-23 contribution being Rs 13,017 crore.

The learnings from equity exposure through ETFs in the Nifty 50 index and the BSE Sensex index have led the EPFO to increase its contribution from this financial year to 15 per cent. Currently, the total corpus of the EPFO stands at Rs 18.3 lakh crore, of which equity investments through ETFs are 8.7 per cent, with the balance in traditional debt instruments, including those of the Public Account of India.

THE RBI NOTICE TALKS OF 'RESETTING THE INTEREST RATES ON EMIs', WHICH MEANS THOSE WHO HAVE A LOAN ON A FLOATING INTEREST RATE WILL HAVE THE OPTION TO SHIFT TO A FIXED RATE

For 2022-23, the EPFO announced an interest rate of 8.15 per cent, which was marginally higher than the 8.1 per cent it announced in 2021-22. The EPFO interest has been falling gradually over the years and has been of concern to depositors who depend on this instrument of saving for their retirement. The EPFO had started equity allocation to counter the overall reducing interest rate scenario a decade ago, which was met with stiff opposition by depositors and members of its CBT (central board of trustees). The increasing equity allocation may come to the rescue of EPFO members who haven't been happy with the low returns from EPFO.

↘ RESPITE FOR BORROWERS

During the recent bi-monthly monetary policy rate announcement, RBI governor Shaktikanta Das said that the central bank will bring in greater transparency in resetting the interest rate on equated monthly instalments (EMI) for floating interest loans. Basically, this means borrowers who have a loan on a floating interest rate will have the option to shift to a fixed rate.

A floating interest rate changes along with the changing market conditions compared to the fixed interest rate, which remains constant for the entire tenure of the loan. This move will come as a relief to borrowers of home, auto and other loans, who are currently facing the impact of high interest rates. Currently, when the interest goes up, lenders tend to either increase the EMI to maintain the loan duration or extend the loan periods while keeping the EMI constant.

At times, the duration of a loan goes way beyond the original tenure it was taken for. To make sure such incidents do not impact borrowers, the RBI is working on a framework to allow borrowers to shift to a fixed rate regime. Further, the central bank has said that lenders will have to clearly communicate to borrowers about the tenure and EMI once the framework to move to a fixed rate is put in place.

If borrowers are apprised of the tenure of the loan or change in EMIs in the right manner, they can take decisions accordingly on whether they want to repay via a floating rate or fixed one, depending on their ability to repay. There will also be a clear and transparent way to foreclose a loan. Borrowers need to keep an eye out for the framework and take a call on their loan repayments as soon as it is announced. ■